WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

SAUDI ARABIA

Middle East

Information current as of October 2026

Dialogue | Trust | Partnership

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Riyadh	Capital and seat of government; the preferred base for regional headquarters and host city for Expo 2030	Financial and professional services, construction, technology, real estate
Eastern Province (Dammam, Dhahran, Jubail, Ras Tanura)	Heartland of the oil and petrochemicals industry, home to Saudi Aramco and the Jubail industrial city on the Gulf coast	Oil and gas, petrochemicals, oilfield services, industrial manufacturing
Yanbu and the Red Sea coast	Terminus of the 1,200 km East-West pipeline, which has carried the bulk of Saudi crude exports to the Red Sea since Gulf shipping was disrupted in 2026	Export terminals, refining, storage, port logistics
Jeddah and King Abdullah Economic City	Main commercial gateway on the Red Sea and a Special Economic Zone for logistics and light manufacturing	Trade, logistics, light industry, religious and leisure tourism
NEOM and the Red Sea tourism coast (Tabuk)	Flagship Vision 2030 developments; NEOM remains one of PIF's six priority sectors under its 2026–2030 strategy, with a stronger role for private capital	Tourism, urban development, clean energy and water
Jazan	Southern Red Sea industrial hub and Special Economic Zone with port and refining infrastructure	Heavy industry, refining, food processing, logistics
Ras Al Khair	Gulf-coast Special Economic Zone anchoring the mining, metals and maritime industries	Mining and metals processing, shipbuilding, industrial services

INVESTOR ENTRY ROUTES

- Ministry of Investment (MISA) registration under the Investment Law in force since February 2025, which replaced foreign-investment licensing with registration and gives Saudi and foreign investors equal treatment
- Regional Headquarters Programme, under which more than 500 multinationals have established regional headquarters in the Kingdom, strengthening access to government contracts
- Four Special Economic Zones launched in 2023 (King Abdullah Economic City, Jazan, Ras Al Khair and the Cloud Computing SEZ), overseen by the Economic Cities and Special Zones Authority, offering tax and customs incentives

- Saudi Exchange (Tadawul) Main Market, open since 1 February 2026 to all foreign investors directly, within a 49% aggregate foreign-ownership limit and a 10% cap per non-resident investor, with strategic investors exempt
- Saudi Central Bank (SAMA) oversight of a riyal pegged to the US dollar; the repo rate stands at 4.50% after a 25 basis-point rise in September 2026 in line with the US Federal Reserve
- Co-investment with the Public Investment Fund (PIF), whose 2026–2030 strategy seeks greater private and foreign participation across six priority sectors
- Sector partnerships with Saudi Aramco and PIF portfolio companies in energy, petrochemicals, industry, logistics and renewables

MARKET-ENTRY OBSERVATION

Saudi Arabia enters the final quarter of 2026 with a decade of Vision 2030 reform behind it and a strengthening record as an investment destination. The IMF estimates real GDP grew 4.6% in 2025, with non-oil activity up 4.2%, inflation stood at just 1.9% in September 2026, and the non-oil PMI rose to 55.3 in September, its highest since February, as new orders and hiring picked up. Foreign direct investment inflows rose 33.5% in 2025 to SR159.1 billion (about $42.3 billion), led by construction and manufacturing, and the FDI stock reached SR1.06 trillion. The Investment Law in force since February 2025, the opening of the Main Market to all foreign investors in February 2026 and the Public Investment Fund's 2026–2030 strategy, which invites greater private and foreign participation, are steadily broadening the opportunity set.

Saudi Arabia's main structural challenge in 2026 is the disruption to Gulf shipping since the Iran war began on 28 February, with the Strait of Hormuz largely closed. Oil activity fell 24.7% in the second quarter and GDP by 4.8%, while non-oil activity still grew 0.6%. Saudi Arabia's strategic investment in the 7 million barrel-a-day East-West pipeline has proved decisive: around 4 million barrels a day were rerouted to Red Sea ports, and after a precautionary shutdown following a drone attack in September the line was back to 5.8 million barrels a day within days. The Energy Minister now plans to raise pipeline capacity to destinations outside the Gulf to 10 million barrels a day within two to three years. The IMF projects a 3.3% contraction in 2026 followed by 7.9% growth in 2027, assuming a gradual reopening from March 2027, and S&P affirmed the Kingdom's A+ rating with a stable outlook in September, citing its diversified export infrastructure and foreign-exchange reserves of around $462 billion.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Strait of Hormuz disruption	Gulf shipping has been largely halted since late February 2026, reducing oil output and weighing on Gulf-coast trade; the IMF assumes a gradual reopening from March 2027	The East-West pipeline and Red Sea ports keep exports flowing; a planned rise in bypass capacity to 10 million barrels a day creates opportunities in pipelines, storage and ports
Security of energy infrastructure and the Red Sea route	Drone and missile attacks have caused short shutdowns, including Ras Tanura refinery for about a week in March and the East-West pipeline in September, and Houthi activity has affected Red Sea shipping	Facilities have been restored quickly; investors should hold appropriate war-risk insurance, contractual force majeure protection and business continuity plans
Fiscal reprioritisation	The government recorded an H1 2026 deficit of SR160 billion, fully financed by borrowing, and some giga-projects are being resequenced, with the IMF recommending more selective PIF capital allocation	Public debt of about 32% of GDP leaves ample financing room; PIF's shift towards private co-investment opens entry points for partners with capital and delivery capability
Workforce nationalisation (Saudisation)	Sector-specific quotas for Saudi nationals affect staffing models and costs, particularly in services and retail	Build Saudi hiring and training into business plans from the outset; rising female participation and a young, educated workforce widen the talent pool
Rapidly evolving regulatory framework	Frequent new laws and implementing regulations, including the 2025 Investment Law, require close monitoring of licensing, tax and procurement rules	Engage MISA early and retain experienced local counsel; the reforms are steadily simplifying entry and improving investor protections

Issue	Potential Impact	Possible Mitigation
Ownership limits in some sectors and listed equities	A list of activities is reserved to Saudi investors, and foreign holdings in listed companies remain capped at 49% in aggregate	Apply to MISA for exceptions where available, use strategic-investor status for larger listed stakes, or partner with Saudi firms
Interest rates and the dollar peg	The riyal peg means SAMA follows US monetary policy, with the repo rate raised to 4.50% in September 2026	The peg provides currency certainty for foreign investors and eliminates riyal-dollar exchange risk; plan financing on dollar-rate assumptions

INVESTOR RISK NOTE

Saudi Arabia's risk profile combines strong sovereign fundamentals with a significant but temporary external shock. An A+ stable rating from S&P, public debt of around 32% of GDP, foreign-exchange reserves of about $462 billion, inflation below 2% and a banking sector the IMF describes as having strong capital and liquidity buffers give the Kingdom considerable capacity to absorb the costs of the 2026 conflict. The principal risk is the continued closure of the Strait of Hormuz, together with periodic attacks on energy infrastructure; the East-West pipeline, rapid repairs and plans for further bypass capacity have substantially mitigated both, and the IMF and S&P expect a strong rebound in 2027 once Gulf shipping normalises. Investors should plan for elevated security and logistics costs in the near term and build insurance and continuity arrangements into project structures, while recognising that the reform programme, deepening capital markets and record FDI inflows in 2025 position the Kingdom for a sharp recovery.

MARKET ACCESS

Saudi Arabia is a member of the Gulf Cooperation Council customs union and has been a WTO member since 2005, and its exports are dominated by crude oil, refined products and petrochemicals sold mainly to Asian markets. The UK–GCC free trade agreement, concluded in May 2026 and awaiting ratification, will remove tariffs on around 93% of current UK exports to the Gulf and includes investment protection and services commitments. Saudi Arabia is unusual among Gulf producers in having coastlines on both the Gulf and the Red Sea: the East-West pipeline links the Eastern Province oilfields to Yanbu, while Jeddah Islamic Port and King Abdullah Port serve Red Sea trade routes towards Europe and Africa. Its scale, with the largest economy in the Middle East, makes the Kingdom both a major market in its own right and a natural regional hub.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Crown Prince and Prime Minister (HRH Mohammed bin Salman) and the Council of Ministers	Sets national strategy under Vision 2030, chairs the Public Investment Fund and has driven economic and social reform	Primary reference point for the Kingdom's strategic and reform direction
Ministry of Investment (MISA), led by Minister Fahad AlSaif	Registers foreign investors under the Investment Law, administers the Regional Headquarters Programme and handles exception requests	Standard first point of contact for market entry, incentives and investor support
Public Investment Fund (PIF)	Sovereign wealth fund with more than $900 billion in assets, organised under its 2026–2030 strategy into Vision, Strategic and Financial portfolios	Key co-investor and counterpart across tourism, urban development, advanced manufacturing, logistics and clean energy
Saudi Central Bank (SAMA)	Monetary authority and banking regulator; manages the dollar peg and the Kingdom's reserves	Relevant for currency, banking and financial-services licensing matters
Ministry of Energy (HRH Prince Abdulaziz bin Salman)	Sets energy and export-infrastructure policy, including the planned expansion of pipeline capacity outside the Gulf	Essential reference point for energy, renewables and infrastructure investment
Saudi Aramco	National oil company operating the East-West pipeline and the Kingdom's export	Central partner for oil, gas, petrochemicals and energy-services engagement

Actor	Why It Matters	Waverley Engagement Angle
	terminals and refineries	
Capital Market Authority and Saudi Exchange (Tadawul)	Regulate and operate the region's largest stock market, opened to all foreign investors from February 2026	Relevant for portfolio investment, listings and capital-raising

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Federation of Saudi Chambers and the regional chambers of commerce in Riyadh, Jeddah and the Eastern Province are the main domestic business channels, alongside bilateral bodies such as the Saudi-British Joint Business Council and the US-Saudi Business Council. MISA runs investor outreach and sector roadshows, and the annual Future Investment Initiative conference in Riyadh is the Kingdom's flagship forum for meeting PIF, ministries and major corporates. The Islamic Development Bank, headquartered in Jeddah, and international banks and advisers with regional headquarters in Riyadh are useful sources of deal flow and market intelligence, while the UK–GCC free trade agreement is expected to deepen government-to-government commercial engagement once ratified.

INVESTOR PROFILE BEST SUITED

Saudi Arabia suits investors seeking scale and long-term exposure to the Gulf's largest economy: infrastructure, construction and engineering firms positioned for transport, housing and Expo 2030-related programmes; energy, pipeline, storage and port investors drawn by the expansion of Red Sea export capacity; industrial and logistics investors using the Special Economic Zones and national manufacturing push; tourism and hospitality investors partnering with PIF; and institutional portfolio investors now able to access the Main Market directly. Investors with Gulf-coast logistics exposure should build Hormuz-related scenarios into near-term planning, while those taking a longer view are well placed for the expected recovery in 2027.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Register with MISA and assess incentives
Open dialogue with the Ministry of Investment to confirm registration requirements under the Investment Law, any excluded activities and the incentives available for your sector.

STEP 2: Evaluate a regional headquarters or Special Economic Zone structure
Consider whether a Riyadh regional headquarters or an SEZ base best supports access to government contracts, tax incentives and regional operations.

STEP 3: Identify PIF and Aramco partnership opportunities
Map PIF's six priority sectors and Aramco's supply-chain programmes to find co-investment and supply opportunities that match your capabilities.

STEP 4: Build security and logistics resilience into planning
Model Hormuz and Red Sea scenarios, secure war-risk insurance and force majeure protection, and favour Red Sea routing where Gulf ports are affected.

STEP 5: Plan for Saudisation and local partnerships
Design staffing, training and partnering strategies that meet workforce nationalisation requirements and strengthen long-term standing with Saudi stakeholders.